

US CONVICTION LIST - DIRECTORS' CUT

October 2026 Update

US Conviction List - Directors' Cut

See the list >



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We add Amazon (AMZN), Burlington Stores (BURL), Huntington Ingalls (HII), Johnson Controls (JCI), and Occidental Petroleum (OXY), while removing Air Products and Chemicals (APD), ConocoPhillips (COP), Golar LNG (GLNG), Loar Holdings (LOAR), and Tyson Foods (TSN). We have a brief summary of these adds below, and include a more detailed write-up within, along with market commentary, a review of list performance and earnings catalysts.

Exhibit 1: Conviction List - Directors' Cut October Update

All price targets are 12-months; Prices are as of 09/30; green indicates new

Ticker	Company	Mkt Cap (\$bn)	Price	Price Tgt	% upside	GS vs. Cons* **	Street % Buy
Consumer							
BURL	Burlington Stores Inc	16.8	\$267	\$382	43%	2%	67%
EL	Estee Lauder Cos Inc/The	33.6	\$93	\$112	21%	2%	47%
ORLY	O'Reilly Automotive Inc	69.1	\$85	\$113	32%	2%	81%
VIK	Viking Holdings Ltd	35.0	\$78	\$117	49%	2%	87%
Financials							
CFG	Citizens Financial Group Inc	26.9	\$64	\$84	32%	0%	77%
TPG	TPG Inc	17.3	\$44	\$68	54%	10%	81%
WFC	Wells Fargo & Co	242.1	\$80	\$107	34%	3%	61%
Healthcare							
UNH	UnitedHealth Group Inc	329.5	\$367	\$490	33%	3%	83%
VRTX	Vertex Pharmaceuticals Inc	132.5	\$523	\$653	25%	7%	85%
Industrial							
CSL	Carlisle Cos Inc	12.8	\$322	\$475	47%	3%	50%
CWST	Casella Waste Systems Inc	5.1	\$80	\$120	49%	-1%	73%
DAL	Delta Air Lines Inc	54.9	\$83	\$116	39%	9%	96%
HII	Huntington Ingalls Industries	10.5	\$267	\$439	64%	11%	50%
JCI	Johnson Controls International	90.0	\$149	\$191	28%	7%	59%
UPS	United Parcel Service Inc	79.5	\$93	\$132	41%	2%	48%
Natural Resources							
OXY	Occidental Petroleum Corp	55.3	\$55	\$69	25%	7%	37%
NXT	Nextpower Inc	11.8	\$78	\$141	81%		93%
TMT							
AMZN	Amazon.com Inc	2,687.4	\$249	\$375	51%	8%	95%
AMAT	Applied Materials Inc	405.8	\$511	\$670	31%	4%	88%
CLS	Celestica Inc	45.5	\$361	\$480	33%	5%	96%
DASH	DoorDash Inc	79.5	\$184	\$275	50%	0%	81%
MSFT	Microsoft Corp	3,809	\$513	\$640	25%	2%	96%
XYZ	Block Inc	44.2	\$74	\$107	46%	2%	79%

*EPS:AMAT,CFG,CLS,DAL,EL,HII,MSFT,NXT,ORLY,TPG,UNH,UPS,VRTX,WFC,XYZ;EBIT:AMZN;EBITDA:BURL,CSL,CWST,DASH,JCI,OXY,VIK

**Excludes NXT GS vs Cons comparison for this period due to lack of comparability

Source: Goldman Sachs Global Investment Research, Bloomberg

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For **AMZN**, Eric Sheridan sees the company as well positioned to produce a strong mix of compounded revenue growth and operating margin expansion on a multi-year horizon while continuing to make critical investments in long-term growth initiatives. Three growth drivers to focus on: (1) the AI revolution's need for AMZN's compute power; (2) operating leverage combining with cost optimization to drive eCommerce profitability; and (3) a still nascent but growing advertising platform.

For **BURL**, Brooke Roach expects the company's idiosyncratic topline drivers combined with self-help initiatives to boost margins in the years ahead. Look for continued strong store growth combined with steady 3%+ same-store-sales growth to drive a consistent 10%+ topline trajectory through 2028. Look also for continued EBIT margin improvement as the company progresses toward its long-term ~10% operating margin target, supported by supply chain productivity, occupancy savings and other cost efficiencies.

For **HII**, we add the stock back to the list after taking it off in March and following a period of underperformance tied to margin disappointment. But Noah Poponak continues to highlight the company's unique position in the US Defense sector — HII is a pure US Navy Shipbuilder as the Pentagon and US government continue to focus on the domestic shipbuilding base. Labor and supply chain investments from the DoW are now proving out, with Shipbuilding revenues +15-20% for four consecutive quarters and translating to higher margins, with contract tailwinds as well. Poponak models HSD% shipbuilding growth, several points of margin expansion, and better free cash generation over the medium term.

For **JCI**, Joe Ritchie sees the company in the early stages of a dual top and bottom-line transformation that is poised to drive consistent, highly visible earnings growth, >500bps improvement in adjusted operating margins, and a more than doubling of EPS through 2028. Now led by CEO Joakim Weidemanis – who's prior 13-year executive experience at Danaher is increasingly visible in the rollout of a proprietary business system — JCI is executing a structural shift from a cyclical commercial construction company to a mission-critical thermal management platform. This continuous improvement operating model is already unlocking tangible improvements in manufacturing throughput, innovation velocity, customer-facing time, and cash conversion. Simultaneously, JCI's AI-driven data center cooling business is scaling rapidly, with organic order growth exceeding 30% for 3 consecutive quarters and pushing the total backlog to a record \$21 bn (up 32% organically in F3Q26). As these dynamics play out, Ritchie believes FY27 organic revenue growth can accelerate into the LDD-MT% range, significantly outperforming management's longer-term HSD% framework and current consensus expectations.

For **OXY**, Neil Mehta highlights the company is employing advanced recovery techniques to extend the life of depleting shale oil reserves at the same time as it ramps up its focus on capital efficiency and deleveraging under new leadership that arrived in March. Advanced recovery efforts could add 2 billion barrels of oil equivalent (BBOE) to OXY's reserves. And cost containment initiatives could also drive as much as \$4bn of incremental cash flow by 2030. Look for excess cash to be delivered back to shareholders as a rising dividend or opportunistic buybacks.

Market Commentary - a lot is in flux

We held our Communacopia + Technology and Consumer & Retail conferences in September and the mood from both weeks was generally positive as enterprise spending remains firm, the US consumer is remarkably resilient, and technology continues to evolve (see [“On the Road with Goldman Sachs: Everything we Learned at the 2026 Communacopia + Tech Conference”](#) and [“On the Road with Goldman Sachs: Everything we Learned at the 33rd Global Consumer & Retail Conference”](#) for all off the details).

But as we close-out September and lurch into October, markets are also digesting a series of pivot points that have emerged and are paving a path into year-end that now looks unlikely to travel in a straight line, including:

1. rates,
2. AI,
3. energy,
4. Congress,
5. the competition for capital, and
6. China.

Here are details of what our analysts are writing about on all 6 of these pivot points.

1) Rates & the Fed - from accommodative to restrictive. The Fed made a hawkish pivot at its September meeting introducing a Fed funds rate hike that was supported by almost the entire committee. Additionally, projections suggest that the Fed thinks rates should remain elevated through 2029, and the move higher was described as removing a dose of accommodation rather than introducing a dose of restriction. But while markets have been quick to price in a string of more rate hikes, we forecast only one more (in December), with a strong chance that the FOMC will ultimately conclude that additional rate hikes are unnecessary as inflation recedes (yoy core PCE inflation is trending 40bp BELOW what Fed members expected) and as oil prices recede. And Dominic Wilson and Kamakshya Trivedi highlighted this week how rates, energy, and AI remain the three biggest risks in markets today, but are well priced now, suggesting that we may see more risk relief than risk escalation in the month ahead.

The move higher in rates, however, has taken us to levels not seen since before the 2008 Global Financial Crisis — raising the question once again: are the high rates we are seeing today abnormal, or were the ultra-low rates of the post-GFC era the abnormality that is unlikely to repeat? If the latter is true, rates may have pivoted to a new ‘old normal.’

Click into:

- Jan Hatzius and David Mericle in a Sep-30 update, [“USA: Pushing Back Fed Rate Hike on Lower Core PCE Inflation.”](#)
- Jan Hatzius’ Sep-22 note, [“Global Views: Lower Inflation, Limited Hikes”](#) and
- David Mericle’s Sep-16 note, [“September FOMC Recap: Hawkish Dots Show Two-Hike Baseline; Adding an October Hike.”](#)

- Wilson and Trivedi's Sep-28 "[Global Market Views: More Paths to Relief](#)").
- Ben Snider's Sep-11 US Strategy note, "[The impact of higher interest rates on equities in charts.](#)"
- Pierfrancesco Mei's Sep-10 "[US Economics Analyst: Fiscal Sustainability with Higher Rates and Higher Growth.](#)"

2) The AI trade - pivots from infrastructure to applications. The three major hyperscalers (GOOGL, MSFT, and AMZN) continued to tread water (or worse) during the month of September as investors have begun to lean into those companies that are employing AI to drive more business and greater internal efficiencies. Among the trillion dollar market cap stocks, META has been by far the biggest outperformer in September, helped by the introduction of its Muse AI product. Most software stocks — especially those tied to the enterprise — struggled to post gains, but those Tech companies that can pave the way to AI proliferation like Semis and Security Software stocks moved higher as investors appear to be willing, in pockets at least, to envision a world where AI solutions proliferate. We sat down with Eric Sheridan and team to discuss how Agentic AI is poised to transform the eCommerce landscape (albeit, perhaps, a bit slower than some anticipate) and capture the conversation in "[Research Unplugged: Entering the Agentic AI Era for the Commerce Landscape.](#)" Jaq Du and team also dove deep into the world of AI-enabled humanoid robots in a series of reports as well as sessions held at our Asia Leadership Conference in China last month. Click into:

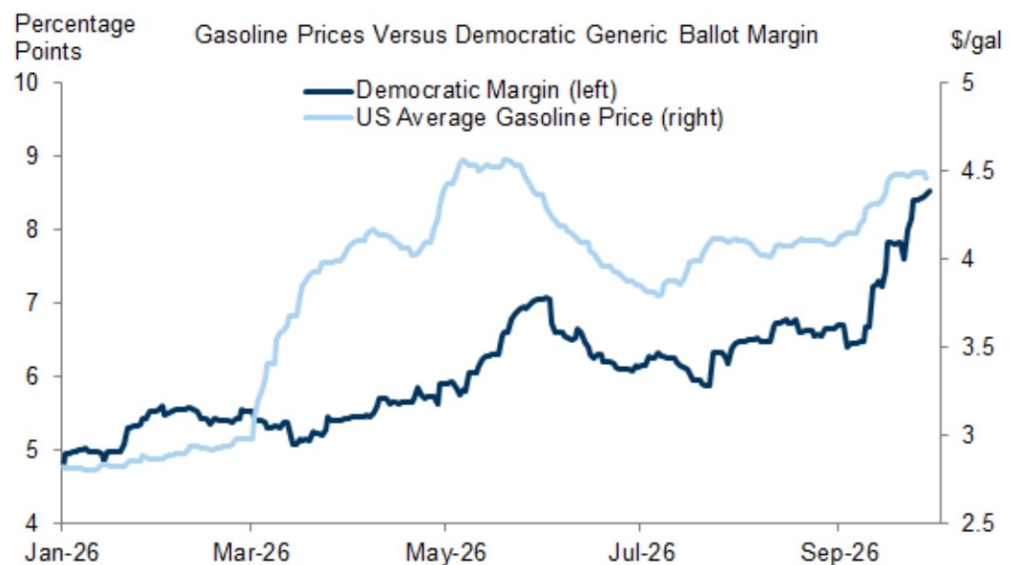
- Ryan Hammond's Sep-24 US Strategy note, "[US Equity Views: AI capex, required revenues, and what's priced in the AI trade](#)"
- Sheridan, Gabrilea Borges, Jim Schneider and team's Sep-24 note, "[Sizing the AI Economy Needed to Justify ROIC on Hyperscaler AI Capex.](#)"
- Borges' Sep-20 note, "[MSFT: NDR Meetings: Enterprise shift to AI platforms is validating key strategic decisions from the last 3 years.](#)"
- Sheridan and team's Sep-24 note, "[Americas Technology: Entering the Agentic AI Era for the Commerce Landscape.](#)"
- Sheridan;s Sep-13 META update, "[Meta Platforms Inc. \(META\): The Introduction of Muse AI: Implications & Framing a Potential "Conversation-to-Action" Paradigm Shift.](#)"
- Jaq Du, Sheridan, and Mark Delaney's Aug-30 note, "[Global Physical AI: Framing the Forward Progress of Humanoids \(with a Studied Focus on the Logistics Landscape\)](#)"

3) Oil and geopolitical uncertainty - ready to pivot back to normal? A hoped-for resolution to the US-Iran War has been as elusive as a resolution to the Russia-Ukraine war — and both events are contributing to higher oil prices, higher inflation, and higher rates across the globe. Interestingly, Yulia Grigsby estimates that oil shipments out of the Persian Gulf are now back to pre-War levels — suggesting that something else is pushing up oil prices. And the impact across the energy space is most acute actually in nat gas, diesel, and jet fuel — fuels that have seen supply disrupted by damage to LNG facilities and refineries as well as the blockage of trade routes. Europe may be most exposed, as a result, due to its dependence on LNG to supply its nat gas needs as Sam Dart discussed. Click into:

- Yulia Grigsby's Sep-29 update, "[Oil Adaptation: Persian Gulf Exports Return to 2025 Level.](#)"
- Nikhil Bhandari and team's Sep-21 note, "[Global: Oil: The Refining Super Cycle \(Part 4\): A System Stretched for Longer.](#)"
- Michele della Vigna's Sep-21 deep dive, "[Top Projects: Spotlight on Venezuela.](#)"
- Daan Struyven and Sam Dart's Sep-23 commodity update, "[Don't Count on a Super El Niño to Ease European Energy Risks](#)"
- Sam Dart's Sep-20 "[Natural Gas Comment: Gastech Sentiment Bullish Near-Term LNG Prices](#)"
- Our Energy research team and traders in a Sep-10 podcast, "[Research Unplugged: Oil and Natural Gas: Back-to-School Update with Research & Trading.](#)"

4) Congress - Midterm elections loom - a pivot in the making? Prediction markets imply a more than 60% chance that Democrats win a Senate majority, which requires a net gain of 4 seats; and a more than 90% chance that Democrats will net at least the three seats they need to win the House majority. (see Alec Phillips' "[US Election Monitor: Relaunching Our US Election Monitor for the Midterms](#)"). Interesting observation? Democratic odds move together with the price of gasoline (see chart below).

Exhibit 2: Gasoline Prices and the Democratic Generic Ballot Have Moved Together This Year



Source: Silver Bulletin, Energy Information Administration, Goldman Sachs Global Investment Research

5) Stocks vs Bonds. Perhaps the biggest pivot on investors minds is whether to pivot into stocks vs bonds. Bond prices have continued to erode this month while stock prices have held steady (in the US at least). But Peter Oppenheimer highlights how the demand for capital from both the private and public sectors is increasing in a world of large fiscal deficits and an AI infrastructure build-out. Fears that US stocks may be held up in a bubble are overdone writes Ben Snider, however, as the S&P 500's P/E multiple has actually compressed by 3 turns this year. Key to watch: corporate earnings. We sat down this week with Peter Oppenheimer, Amanda Lynam, and Will Marshall to discuss the competition for capital and how it is impacting stock, bond, and credit markets, and we

capture the conversation in “[Research Unplugged: The Competition for Capital Heats Up.](#)”

- Oppenheimer’s Sep-17, “[Global Strategy Views: Competition for Capital.](#)”
- Snider’s Sep-17 “[US Equity Views: Over-earning, but not an earnings bubble](#)”
- Mei’s Sep-10 note, “[Fiscal Sustainability with Higher Rates and Higher Growth.](#)”

6) China: policy pivot and consumption vs export pivot. Hui Shan thinks that policymakers may go down a path of RMB appreciation and more export-rebate cuts to manage large trade surpluses and rising trade tensions. In the meantime, however, policymakers announced a combination of targeted fiscal and monetary easing measures on September 29th, following Premier Li’s call for stronger counter-cyclical measures to help achieve the full-year growth target. Click into:

- Xinquan Chen’s Sep-29 update, “[China: Targeted easing follows State Council call, growth impulse may be modest](#)”
- Hui Shan’s Sep-20 note, “[China Matters: Path of Least Resistance](#)”
- Trina Chen and team’s comprehensive sector deep dive from Sep-14, “[China in Transition: China’s great Go Global expansion – From peripheral to core.](#)”

Conviction List - what has worked, what has not and what has changed

We provide the performance of each name on the list for the month of September and the life-to-date total return relative to the S&P 500 Index and the S&P 500 equal-weighted Index in the table below. Additionally, we present the Conviction List “hit rate” – a simple measure of the performance that calculates the percentage of stocks that have outperformed the stated benchmark during their time on the list, since inception. Lastly, we provide commentary on select names that saw strength and weakness during the month and highlight the names that were added to and removed from the list.

Exhibit 3: Conviction List - Directors' Cut stock performance
September and life-to-date returns

Ticker	Name	Calendar Days on the List	September 2026	Life-to-Date Return Rel to S&P 500	Life-to-Date Return Rel to EW S&P 500	Life-to-Date Return Rel to Coverage	Life-to-Date Return Rel to GIC Sector
CLS	Celestica Inc	304	20.7%	-7.9%	-5.6%	-4.2%	-32.5%
AMAT	Applied Materials Inc	59	11.6%	-1.5%	3.7%	4.4%	-10.9%
DAL	Delta Air Lines Inc	59	7.0%	-6.9%	-1.7%	-0.9%	2.4%
MSFT	Microsoft Corp	59	1.1%	8.2%	13.4%	14.2%	-1.2%
SPX	S&P 500		-0.3%				
ORLY	O'Reilly Automotive Inc	59	-3.8%	-6.8%	-1.6%	-0.8%	1.6%
VRTX	Vertex Pharmaceuticals Inc	30	-4.0%	-3.6%	0.8%	1.9%	-3.1%
SPW	S&P 500 Equal Weight		-4.8%				
NXT	Nextpower Inc	92	-5.0%	-36.9%	-32.7%	-31.0%	-25.0%
UNH	UnitedHealth Group Inc	153	-5.2%	-6.4%	-2.9%	-2.7%	-16.0%
¹	GS Americas Coverage		-5.9%				
CSL	Carlisle Cos Inc	183	-7.0%	-20.6%	-12.1%	-14.0%	-6.5%
WFC	Wells Fargo & Co	92	-7.3%	-4.9%	-0.7%	1.0%	-2.5%
CFG	Citizens Financial Group Inc	183	-7.4%	-10.1%	-1.5%	-3.4%	-1.1%
VIK	Viking Holdings Ltd	59	-9.1%	-27.3%	-22.1%	-21.3%	-18.9%
EL	Estee Lauder Cos Inc/The	92	-9.3%	15.6%	19.8%	21.5%	20.2%
XYZ	Block Inc	122	-10.4%	-4.2%	-3.3%	-2.2%	-7.1%
UPS	United Parcel Service Inc	59	-10.4%	-11.3%	-6.1%	-5.3%	-2.0%
CWST	Casella Waste Systems Inc	122	-12.9%	-3.5%	-2.7%	-1.5%	0.8%
TPG	TPG Inc	122	-18.5%	3.5%	4.3%	5.5%	0.5%
DASH	DoorDash Inc	241	-20.8%	-21.4%	-16.7%	-16.8%	-0.7%

² Conviction List hit rate (n = 130 LTD; n= TTM)

September			
Relative to:	2026	TTM	LTD
S&P 500	17%	34%	42%
S&P 500 Equal Weight	26%	38%	47%
GICS Sector	17%	38%	46%
GS Americas Coverage	39%	43%	50%

Added to the list this month

Ticker	Name
AMZN	Amazon.com Inc
BURL	Burlington Stores Inc
HII	Huntington Ingalls Industries
JCI	Johnson Controls International
OXY	Occidental Petroleum Corp

Removed from the list this month

Ticker	Name	Days on the List	September 2026	LTD Return Rel to SP500	LTD Return Rel EW SP500	LTD Return Rel Coverage	LTD Return Rel GIC Sector	Date removed
APD	Air Products and Chemicals	365	-10.1%	-11.0%	-6.8%	-5.8%	-5.9%	10/1
COP	ConocoPhillips	213	-5.5%	-0.1%	9.1%	5.7%	-0.3%	10/1
GLNG	Golar LNG Ltd	241	-7.7%	7.7%	12.4%	12.3%	-4.0%	10/1
LOAR	Loar Holdings Inc	213	-12.4%	-25.1%	-15.9%	-19.3%	-8.1%	10/1
TSN	Tyson Foods Inc	122	-7.5%	-17.0%	-16.2%	-15.0%	-14.3%	10/1

¹ Total return for GS Rated North America Research coverage

² Hit rate is defined as the % of stocks that have outperformed the benchmark while on the list, since inception

Source: Goldman Sachs Global Investment Research, Bloomberg

What has worked

- **CLS (+).** The hardware designer and provider saw its stock reaccelerate in September as investors position ahead of what Mike Ng expects to be a constructive 3Q result later in October and an analyst day where they traditionally set the tone for the next

year (see [“Hardware: 3Q26E preview on ANET, CLS, FFIV & industry networking model update”](#) and [“Celestica Inc. \(CLS\): Communacopia + Technology 2026 — Key Takeaways”](#)).

- **DAL (+).** Shares of the airline outperformed the S&P 500 and other airlines in September as the company’s wholly-owned refinery got a boost from global fuel shortages and Catie O’Brien highlighted how DAL’s US airport hub footprint has been favorably exposed from a supply/demand standpoint (see [“GS Airport Volume Heatmap - September 2026 MTD Update”](#)).

What has not

- **TPG(-).** Shares of the alternative asset manager lagged the broader market sharply in September as the entire Alternative Asset Management group sold off amidst rising rates, private credit concerns, and selective fund redemptions. We also sat down last month with Richard Ramsden, Alex Blostein, and team to discuss how linked financials stocks are to the AI trade and capture the conversation in a Sep-11 podcast, [“Research Unplugged: AI Infrastructure & the Next Phase of Capital Markets Growth.”](#)
- **UPS (-).** The transportation leader was caught up in a broader sell-off of transportation stocks with exposure to the consumer and jet fuel. Steve Kron sat down with Jordan Alliger to discuss the intricacies of the Transportation sector today and what’s driving UPS profitability in particular, and we capture the conversation in a Sep-8 podcast, [“Inside the Model: Focus on the Parcel Industry.”](#) Listen into Kron’s conversation with Kate McShane, Brooke Roach, and Lizzie Dove about the path for the consumer from here in [“Inside the Model: Mapping the Consumer Wallet.”](#)

What has changed

With this update we add Amazon (AMZN), Burlington Stores (BURL), Huntington Ingalls (HII), Johnson Controls (JCI), and Occidental Petroleum (OXY), while removing Air Products and Chemicals (APD), ConocoPhillips (COP), Golar LNG (GLNG), Loar Holdings (LOAR), and Tyson Foods (TSN) – note that these stocks remain Buy-rated. As discussed in previous monthly updates, there are many reasons a stock could be removed from the list. They can include (but are not limited to) analysts no longer having conviction in their idea (e.g., a downgrade), price realization, the passage of catalysts or the subcommittee believing there are better opportunities elsewhere. In short, names will be removed if the committee determines a name is no longer a top investment idea (list will target 20-25 Buy-rated stocks) across the Americas coverage.

Importantly, inclusion on this list is not a stock rating and addition to or removal from this list does not necessarily represent a change in the analyst’s investment rating for such stock.

Exhibit 4: Conviction List Changes since September 1, 2026

Ticker	Name	FY2 EPS %	PT %
CLS	Celestica Inc	-7%	-5%
WFC	Wells Fargo & Co	0%	5%

CL Additions		Date
AMZN	Amazon.com Inc	10/1/2026
BURL	Burlington Stores Inc	10/1/2026
HII	Huntington Ingalls Industries	10/1/2026
JCI	Johnson Controls International	10/1/2026
OXY	Occidental Petroleum Corp	10/1/2026

CL Removals		Date
APD	Air Products and Chemicals	10/1/2026
COP	ConocoPhillips	10/1/2026
GLNG	Golar LNG Ltd	10/1/2026
LOAR	Loar Holdings Inc	10/1/2026
TSN	Tyson Foods Inc	10/1/2026

Source: Goldman Sachs Global Investment Research, Bloomberg

Anatomy of the List

Top 5 Snapshot

While our Conviction List process focuses on stocks where our analysts expect strong risk-adjusted returns, we recognize there are a broad range of investing styles across portfolio managers. Below, we highlight the top five stocks from the current Conviction List across four major metrics: Upside to 12-month price target, Upside to next year’s consensus EPS, FY2 Revenue growth and current Dividend Yield.

Exhibit 5: The Conviction List contains stocks that are attractive across a number of metrics Top 5 by fundamental metric

Upside to price target		Upside to consensus EPS		Revenue Growth		Dividend Yield	
NXT	81%	HII	11%	CLS	90%	UPS	7%
HII	64%	TPG	10%	AMAT	43%	TPG	5%
TPG	54%	DAL	9%	VIK	22%	CFG	3%
AMZN	51%	AMZN	8%	DASH	21%	UNH	3%
DASH	50%	VRTX	7%	TPG	21%	WFC	2%

Source: Goldman Sachs Global Investment Research, Bloomberg

By the Numbers

Our Conviction List should not be viewed as a portfolio as we will not attempt to weight these stocks or ensure diversification across our stock coverage. That said, we will continue to provide some context of the list construction to give investors a taste of the independent investment ideas on the list.

Exhibit 6: By the Numbers

39%	3%	9%
median upside to price target	median upside to consensus FY2 KPI	median FY2 revenue growth
22%	91%	1.1
% names with 50% or less Street Buy	% names with upside to FY2 KPI	median beta

Source: Goldman Sachs Global Investment Research, Bloomberg

Upcoming Catalysts

Below we provide a rolling calendar of select earnings that have the potential to drive investor sentiment toward our analysts’ view.

Exhibit 7: Volatility expectations for Conviction List names on earnings

Option implied moves for upcoming earnings catalysts vs historical 8Q averages

Ticker	Date	Earnings-day move (Absolute)		Implied minus historical
		Current Implied	8Q Avg Actual	
DAL	9-Oct	6%	7%	-2%
WFC	13-Oct	4%	5%	-1%
UNH	13-Oct	6%	9%	-3%
CFG	16-Oct	3%	3%	1%
ORLY	22-Oct	5%	3%	2%
NXT	23-Oct	13%	14%	0%
UPS	27-Oct	6%	6%	0%
CLS	29-Oct	11%	12%	-1%
MSFT	29-Oct	5%	7%	-2%
CSL	29-Oct	6%	8%	-2%
TPG	29-Oct	0%	4%	-4%
CWST	30-Oct	0%	4%	-4%
AMZN	30-Oct	6%	6%	0%
HII	30-Oct	10%	12%	-2%

Source: Goldman Sachs Global Investment Research, Bloomberg

Conviction List Explained – refrain

On June 1, 2023 we introduced this new investment list which highlights a selection of fundamental Buy-rated US stocks across the Goldman Sachs Americas Global Investment Research department. These ideas are sourced from our US research analysts, but chosen by members of our Investment Review Committee. This new ‘Conviction List – Directors’ Cut’ is designed to provide investors with a curated and active list of 20-25 of what we believe to be our most differentiated fundamental Buy ideas across our US stock coverage.

The subcommittee, which includes the Americas Director of Research and the other senior research managers listed as authors of this report, will collaborate with each sector analyst to identify top ideas that offer a combination of conviction, a differentiated view and high risk-adjusted returns. The subcommittee will then choose what they view as the top 20-25 ideas across the department for the list. We intend to refresh and publish the list monthly to allow the list to become part of the investment process of Portfolio Managers.

Importantly, we do not express thematic or factor views with this list. Rather, this list focuses on bottom-up fundamental analysis from our analysts. While our analysts will incorporate their view of macro impacts on the fundamentals of their stocks, we will not intentionally express factor, rates, inflation or other macro views in the construction of this list. Our analysts appropriately incorporate the impact of these factors in their estimates which are a critical component to our selection process.

Finally, inclusion on this list is not a stock rating and addition to or removal from this list does not necessarily represent a change in the analyst’s investment rating for such stock.

Recent Editions:

- [US Conviction List – Directors’ Cut: September 2026 Update – Refreshed Views for Back to School](#)
- [US Conviction List – Directors’ Cut: August 2026 Update – Stocks for a broadening market](#)
- [US Conviction List – Directors’ Cut: July 2026 Update](#)
- [US Conviction List – Directors’ Cut: June 2026 Update – Three Years On](#)
- Inaugural Edition: 6/1/23: [“Conviction List – Directors’ Cut”](#)

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Our 23 most differentiated Buy recommendations

The company specific discussion in the sections below reflect the views of the covering analyst.

Exhibit 8: Conviction List - Directors' Cut

Ticker	Company	Summary
Consumer		
BURL	Burlington Stores Inc	Proven retail business model with top- and bottom-line self-help initiatives - all on sale in aisle 3
EL	Estee Lauder Cos Inc/The	Topline growth inflector in a strong growth category
ORLY	O'Reilly Automotive Inc	Playing offense in a defensive business
VIK	Viking Holdings Ltd	Best in-class growth profile in a choppy cruise macro
Financials		
CFG	Citizens Financial Group Inc	Best-in-class operator that is only getting better
TPG	TPG Inc	Sustainable growth platform at a discounted valuation
WFC	Wells Fargo & Co	Top-line grower with operating leverage
Healthcare		
UNH	UnitedHealth Group Inc	Shrink to grow insurer on the cusp of a pro-cyclical EPS reacceleration
VRTX	Vertex Pharmaceuticals Inc	Large-Cap Biotech executing against potentially up to five, multi-billion dollar opportunities
Industrial		
CSL	Carlisle Cos Inc	Value stock on the cusp of an earnings growth inflection
CWST	Casella Waste Systems Inc	Sustainable growth, with margin expansion ahead
DAL	Delta Air Lines Inc	Best-in-class airline in a structurally better industry
HII	Huntington Ingalls Industries	Pure play on Pentagon's Navy priority, with growth and margins inflecting
JCI	Johnson Controls International	HVAC OEM in the early innings of transformation as growth accelerates
UPS	United Parcel Service Inc	A revenue and profit inflection story with a solid core
Natural Resources		
OXY	Occidental Petroleum Corp	Management-driven to FCF harvesting inflection company
NXT	Nextpower Inc	Emerging technology platform provider in the electrification industry
TMT		
AMZN	Amazon.com Inc	At the crossroads of structural and cyclical growth with margin expansion to boot
AMAT	Applied Materials Inc	Technology and market leader in a market desperate for what it sells
CLS	Celestica Inc	Scaled tech hardware provider with a design kicker
DASH	DoorDash Inc	Online delivery leader with leverage to a healthy consumer looking for everything to be delivered
MSFT	Microsoft Corp	Hyperscaler ready to go up again
XYZ	Block Inc	A cash generating share gainer with an AI productivity enhancement story

Source: Goldman Sachs Global Investment Research

Amazon.com Inc. (AMZN) – covered by Eric Sheridan

At the crossroads of structural and cyclical growth with margin expansion to boot

AMZN is ideally positioned to benefit from both structural and cyclical tailwinds impacting the broader Tech sector yet has lagged many Tech stock peers and the broader S&P 500 over the past year, providing an attractive entry point for this perennial outperforming growth stock. The company is positioned to produce a strong mix of compounded revenue growth and operating margin expansion on a multi-year horizon while continuing to make critical investments in long-term growth initiatives. Three growth drivers to focus on: (1) the AI revolution's need for AMZN's compute power; (2) operating leverage combining with cost optimization to drive eCommerce profitability; and (3) a still-nascent but growing advertising platform.

- **AI matters.** AWS benefits from a long-tailed structural growth opportunity in the shifting needs of enterprise customers with tailwinds from the ramp of Gen AI workloads. In the June quarter results, AWS's revenue growth rate (+37%), operating margin (+39%), and momentum in their chips and AI businesses (each with a \$25b annual revenue run rate) continue to demonstrate a clear signal of return on invested capital as tailwinds build around the company's competitive positioning relative to the AI secular growth theme across compute workloads, custom silicon and increasingly enabling AI adoption through choice (with management estimating AWS could reach a \$1tn annual run rate).
- **Capex matters.** AMZN raised its 2026 capex forecast by 10% in July to \$220bn, reflecting inflationary component pricing pressures (i.e., not new compute power needs). Investors have grown wary of hyperscaler capex that is not generating sufficient profits, but we view AMZN's capex program as a signal of both strong visibility into the return profile of its AWS investments and supportive of the company's revenue backlog (now standing at \$496b +154% yoy) which will likely remain supportive of continued AWS revenue growth acceleration in the coming quarters.
- **Advertising matters.** AMZN's advertising business continues to scale at high margins against rising market opportunities in retail media, programmatic advertising and evolving media consumption habits. In the June quarter, advertising revenue grew 26% yoy, supported by both the core eCommerce operations and a growing mix from Prime Video (with particular engagement with live sports, including NBA basketball), programmatic advertising, and more.
- **eCommerce matters.** eCommerce margins continue to benefit from higher volumes across a more efficient logistics network and reductions in cost to serve per unit (Global Physical AI note). Additionally, as a large eCommerce provider AMZN is well positioned to benefit from growing agentic commerce adoption (Agentic AI note). Importantly, the overall health of the Amazon Prime consumer remains solid, and growing initiatives around a wider array of supply (especially groceries and household essentials) and geographies (80 new cities added in the June quarter alone), faster delivery times and continued adoption of Alexa for Shopping (350mn new customers over the last 12 months) are supportive of the company's relative

positioning to be one of the strongest secular growth themes in the Internet sector away from AI. ([Global eComm Handbook](#)).

Where we are different.

Continued execution and strength in AWS, supported by AI workloads give the team optimism around topline momentum and operating margins; as a result, Sheridan is about ~2%/6% above the street (Visible Alpha) on 2026/2027 AWS revenues, and sees further upside to AWS numbers in a potential upside case ([link](#)). Physical AI & automation of warehouses should support continued margin expansion as the team is landing ~130bps above street estimates for 2028 North America EBIT margins. Additionally, sustained advertising growth (from the sponsored products, Prime Video, programmatic advertising, expanding merchant monetization tools, etc) supports a strong topline, as the team is ~1% above street estimates on 2028 advertising revenue.

Valuation.

12-month price target of \$375 is based on a sum-of-the-parts of EV/EBIT applied to North America and AWS segments, and EV/Sales applied to the International segment, all based on NTM+1 estimates. Key downside risks: (1) competition; (2) lack of success in scaling high margin businesses including Advertising, Cloud, third-party selling and the subscription business; (3) investments across any array of initiatives creating a headwind to gross or operating margin; (4) any product or platform changes necessary to comply with changes to the global regulatory environment; and (5) exposure to the volatility caused by the global macroeconomic environment and investor risk appetite for growth stocks.

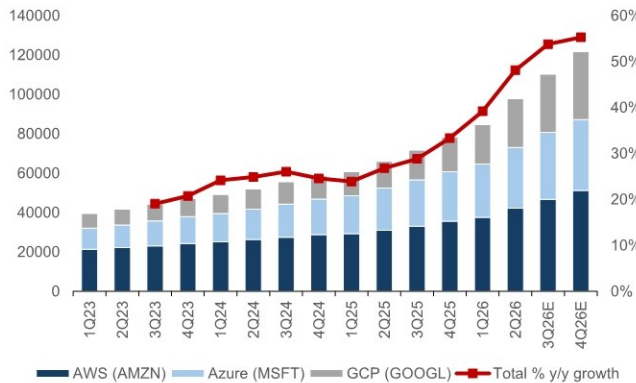
Catalysts.

Sheridan looks towards AMZN's re:Invent conference (Nov 30-Dec 4) for an update on new feature and model releases to further support AWS topline momentum. On the commerce side, the holiday shopping data should give us indications of consumer and platform health. On the advertising front, ad week (in early October) will be an indication of the broader advertising landscape and ecosystem strength.

Key Charts.

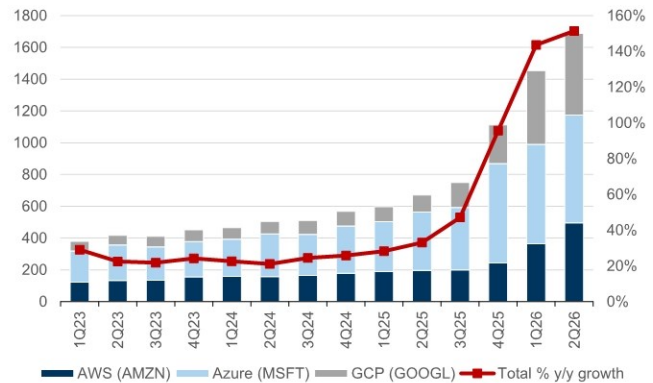
Exhibit 9: Growing enterprise demand for AI workloads (training & inference) are driving accelerating cloud revenue growth...

Public Cloud Revenues (\$bn)



Azure (MSFT) is covered by Gabriela Borges and reflects GS estimates for all periods

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 10: ...and scaling revenue backlogs for the major US cloud hyperscalers

Backlog figures include non-cloud revenue commitments ("Total Commitments" for AMZN; "Commercial RPOs" for MSFT; "Remaining Performance Obligations (RPO)" for GOOGL) and are used as a proxy for future cloud demand

Source: Company data, Goldman Sachs Global Investment Research

Relevant Research.

- Sep 24: ["Americas Technology: Sizing the AI Economy Needed to Justify ROIC on Hyperscaler AI Capex"](#)
- Sep 24: ["Americas Technology: Entering the Agentic AI Era for the Commerce Landscape"](#)
- Aug-30: ["Physical AI - Framing the Forward Progress of Humanoids \(with a Studied Focus on the Logistics Landscape\)"](#)
- Aug-28: ["Global Technology: Internet: 2026 Global eCommerce Handbook: Assessing the Industry in an Increasingly Agentic World"](#)
- Jul-31: ["AMZN: Q2'26 Review: AWS Revenue Growth & Operating Margins Support the RoIC Behind AI Investments; Overall Profit Margin Multi-Year Thesis Building in Momentum"](#)
- Jun-22: ["Internet & Interactive Entertainment: 10 Industry Themes for 2026 & Focus Stocks Going Forward \(Mid-Year Update\)"](#)
- May-5: ["Technology: Decoding the Agentic Economy - The Coming Inflection in AI Usage and Margins"](#)

Related Podcasts.

- Sep-18: ["Research Unplugged: 2026 Global eCommerce Handbook: Assessing the Industry in an Increasingly Agentic World"](#)
- Aug-3: ["Research Unplugged: Funding AI: Framing Scale, Scope & Mix"](#)
- Jul-21: ["Digital Ad Expert Webinar with SensorTower/Pathmatics: The Current State of Q2 Digital Advertising Trends"](#)

- May-6: “Research Unplugged: Decoding the Agentic Economy: The Coming Inflection in AI Usage and Margins”
- Apr-16: “On the Road with Goldman Sachs: AI & the Valley: Software & Internet – from Public to Private

Burlington Stores Inc. (BURL) - covered by Brooke Roach

Proven retail business model with top- and bottom-line self-help initiatives - all on sale in aisle 3

BURL shares have underperformed on concerns about a warm fall/winter squeezing sales and higher fuel prices pressuring freight costs, but Brooke Roach believes such concerns are overdone, providing an attractive entry point to a stock that has idiosyncratic topline drivers combining with self-help initiatives to boost margins in the years ahead. Look for continued strong store growth combined with steady 3%+ same-store-sales growth to drive a consistent 10%+ topline trajectory through 2028. Look also for continued EBIT margin improvement as the company progresses toward its long-term ~10% operating margin target, supported by supply chain productivity, occupancy savings and other cost efficiencies.

- **Topline growth.** BURL has started to run more experiments with marketing, providing it with a catch-up opportunity vs. peers as it builds greater brand awareness. The company is focused on improving awareness, changing customer perceptions and testing new approaches across both advertising and merchandising in a multi-quarter effort. Additionally, BURL is implementing more localization initiatives that should help with shoulder-period selling, tailoring inventory by weather patterns, demographics and local shopping behavior. These initiatives complement a robust new-store pipeline, with management expecting at least 110 net new stores annually, with plans to reach or exceed 1,500 stores by the end of 2028.
- **Self-help drives margin normalization.** Higher fuel costs are creating freight pressure, but BURL has multiple internal cost levers that should support continued margin improvement toward its long-term ~10% operating margin target. In particular, the company is focused on supply chain productivity, labor efficiency, occupancy leverage and the structural benefits associated with newer distribution centers and downsized store formats. These initiatives represent a multi-year opportunity to reduce costs across the network. Recent execution supports the opportunity: excluding tariff refunds, 2Q operating margin expanded ~100bps despite only a 2% comp, driven by stronger merchandise margin, supply chain productivity and SG&A leverage.
- **Good entry point.** BURL shares have come under significant pressure as investors have focused on the risk that warmer weather could weigh on seasonal sales, particularly outerwear, alongside higher fuel costs and a more cautious consumer backdrop. However, the company has taken several actions to reduce its weather sensitivity, including planning down outerwear and up weather-neutral categories, strengthening Home assortments and improving localization capabilities. We see the recent pullback as an attractive entry point given the company's continued earnings delivery and the multiple topline and margin drivers ahead.

Where we are different.

Roach is more constructive on BURL's ability to drive earnings growth despite modest comp growth, supported by continued margin expansion and robust new-store

productivity. Her work suggests a multi-year margin opportunity from supply chain productivity, occupancy savings and other cost efficiencies, alongside topline opportunity from strong new-store growth and improving localization and marketing capabilities. This drives her FY27/FY28 EPS forecast, excluding expenses associated with bankruptcy-acquired leases, ~1% above FactSet consensus.

Valuation.

12-month price target of \$382 is based on 14x Q5-Q8 EV/EBITDA. Key downside risks include: (1) Execution headwinds, (2) Higher markdowns, (3) Cost pressures including freight and wages, (4) Prolonged pressure on the low-income consumer's spending power, and (5) More intense competitive environment.

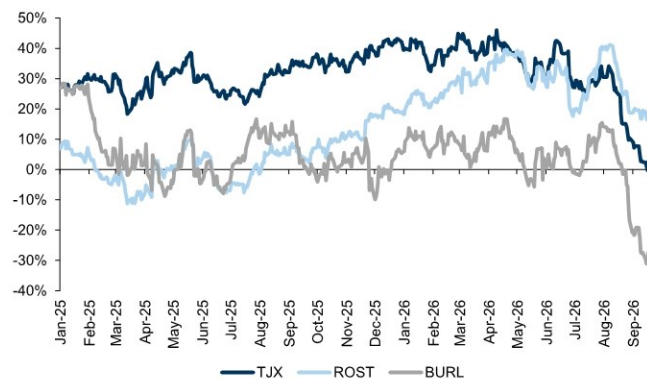
Catalysts.

BURL's 3Q result is the next closely watched catalyst, with investors focused on comp performance through the important fall selling period, including weather sensitivity, improving Home trends, and whether the company's reinvestment of tariff refunds into sharper values drives an improvement in sales momentum.

Key Charts.

Exhibit 11: BURL currently trades at a discount vs. history and relative to peers

NTM P/E % discount / premium vs. rolling 10-yr median



Source: FactSet, Goldman Sachs Global Investment Research

Relevant Research.

- Sep-16: ["Global Retail: Global Consumer and Retail Conference 2026 — Day 2 Takeaways"](#)
- Sep-15: ["Burlington Stores Inc. \(BURL\): Global Consumer and Retail Conference 2026 — Key Takeaways"](#)
- Sep-9: ["Consumer Cyclical: 2027 spending outlook: Expect modest sequential improvement in pre-savings DCF, but bottom-quintile to lag on still pressured trends"](#)
- Aug-27: ["Burlington Stores Inc. \(BURL\): F2Q26 Earnings Review: Margin execution robust; 2H comp opportunities ahead"](#)

- Aug-17: “Apparel Retail: Refreshing our off-price trackers and highlighting key debates”
- May-19: “Apparel Retail: Analyzing off-price traffic by demographic cohort, marketing spend by channel, and brand momentum indicators”

Related Podcasts.

- Sep-18: “On the Road with Goldman Sachs: 33rd Annual Global Retailing Conference Takeaways”
- Sep-15: “Inside the Model: Mapping the Consumer Wallet”
- Sep-10: “Research Unplugged: Assessing the Health of the Consumer into 2027 and a Preview of the GS Global Consumer & Retail Conference”
- Aug-17: “Inside the Model: Focus on the Apparel Retail & Brands”
- Apr-9: “On the Road with Goldman Sachs: Shop ‘til you Drop: Catching up with Retailers across the US”

Huntington Ingalls Industries Inc. (HII) - covered by Noah Poponak

Pure play on Pentagon's Navy priority, with growth and margins inflecting

HII shares are poised to bounce back from a margin disappointment-driven pullback that Noah Poponak believes is more of a timing issue than an execution issue — providing a particularly attractive entry-point into a unique company in the US Defense sector. HII is a pure play on US Navy Shipbuilding as the Pentagon and US government continue to focus on the domestic shipbuilding base and growing the Navy's fleet. There has been demand for new Navy ships for years, but HII has been unable to deliver units due to throughput challenges, creating pent-up demand. Labor and supply chain investments from the DoW are now proving out, with Shipbuilding revenues +15-20% for four consecutive quarters. Improved throughput is now translating to higher margins, and there are contract tailwinds as well. Poponak models HSD% shipbuilding growth, several points of margin expansion, and better free cash generation over the medium term.

- **A faster top line.** The Pentagon wants a larger Navy, and HII is one of only two companies in the world producing world class ships that meet military naval standards. Nuclear powered submarines and aircraft carriers are force multipliers given their capability compared to cost. HII has \$32.7bn of Shipbuilding backlog and HII's improving labor metrics (hiring, retention), supply chain investments from the DoW, and productivity gains are improving ship throughput and sustaining revenue growth.
- **Substantial margin expansion potential.** Margins are now inflecting after multiple quarters of throughput improvements, and HII is mix-shifting to higher margin, post-pandemic contracts, as well. The Navy contracted a large block of submarines in HII's 3Q26, which should allow HII to recognize long-lead materials purchases at a higher margin.
- **A low bar (again).** HII shares have pulled back as the margin improvement thesis that evolved a year ago has taken longer to play out. But with margins poised to inflect positively from here, on top of the acceleration in revenue growth the company has already seen, the current valuation provides a particularly attractive entry point.

Where we are different.

Poponak's analysis of the Navy shipbuilding budget and planning leads him to forecast above consensus revenues. He also sees upside to consensus margins driven by operational improvement factors, and his modeling of mix of contract. The market 'gave up' on the Navy and operational driven financial improvement story when margins proved slower to recover. But it is a long cycle business, and new contracts need time to roll in.

Valuation.

12-month price target of \$439 is derived from a target relative (S&P 500) CY27E P/E of 1.21X. HII trades at only 9.0X CY27E EV/EBITDA, versus large-cap defense peers averaging 12.0X. Key risks include: (1) Geopolitics, (2) DoW spending priorities, (3)

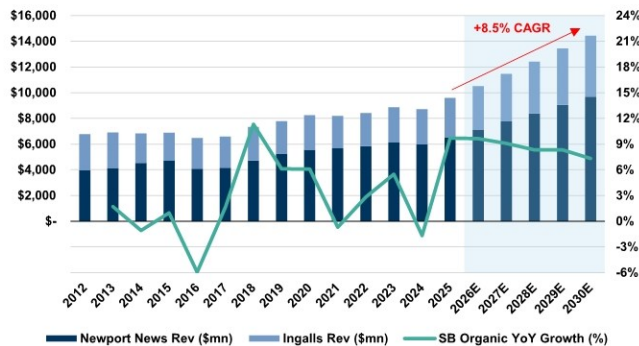
Margins.

Catalysts.

3Q26 results (expected on 10/31) where Poponak expects margins to improve on submarine contract terms, and commentary regarding continued labor improvement and throughput. Poponak also expects medium-term guidance to prove conservative.

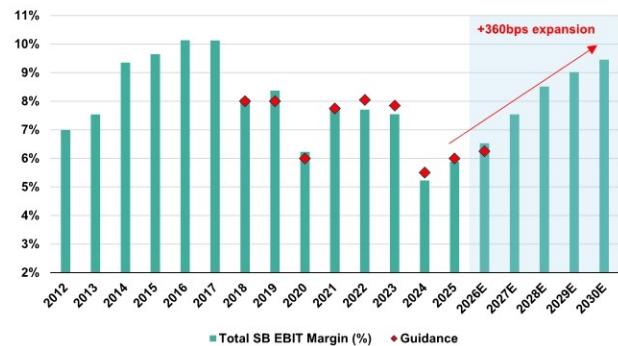
Key Charts.

Exhibit 12: Shipbuilding Revenue & Organic Growth, YoY



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 13: Shipbuilding adj. EBIT Margin



Source: Company data, Goldman Sachs Global Investment Research

Relevant Research.

- Aug-2: "Huntington Ingalls Industries Inc. (HII): Continue to see substantial improvement in long-term earnings power; Buy"
- Jul-29: "Americas Aerospace & Defense: Block VI Virginia-class & Build II Columbia-class contracts awarded (HII & GD)"
- May-26: "Huntington Ingalls Industries Inc. (HII): Management meeting takeaways; Buy"

Johnson Controls International Plc (JCI) - covered by Joe Ritchie

HVAC OEM in the early innings of transformation as growth accelerates

JCI is in the early innings of a dual top and bottom-line transformation that is poised to drive consistent, highly visible earnings growth, >500bps improvement in adjusted operating margins, and a more than doubling of EPS through 2028. Now led by CEO Joakim Weidemanis — whose prior 13-year executive experience at Danaher is increasingly visible in the rollout of a proprietary business system — JCI is executing a structural shift from a cyclical commercial construction player to a mission-critical thermal management platform. This continuous improvement operating model is already unlocking tangible improvements in manufacturing throughput, innovation velocity, customer-facing time, and cash conversion. Simultaneously, JCI's AI-driven data center cooling business is scaling rapidly, with organic order growth exceeding 30% for 3 consecutive quarters and pushing the total backlog to a record \$21 bn (up 32% organically in F3Q26). As these dynamics play out, we believe FY27 organic revenue growth can accelerate into the LDD-MT% range, significantly outperforming management's longer-term HSD% framework and current consensus expectations.

- **Accelerating organic growth powered by structural AI and data center cooling tailwinds.** F3Q26 results represent a clear inflection point for JCI's organic growth algorithm, with growth accelerating to +10% in the quarter from just +4% in the prior year. This trajectory is anchored by the company's data center business, which is projected to grow from 12% of revenue (~\$2.5 bn) in 2025 to approximately 33% (~\$10 bn) by 2029. Crucially, data centers move through their building lifecycles roughly 60% faster than traditional commercial buildings, accelerating the higher-margin downstream service and replacement cycle. As the only OEM with complete in-house ownership of all chiller subsystems (compressors, CDUs, cold plates, and air handlers), JCI has leading system-level optimization, faster innovation, and strict COGS control. This is illustrated by its newly introduced CDU line, which has already amassed a backlog exceeding \$1 bn ahead of its 2027 shipping schedule. Driven by three quarters of average organic order growth > 30% and a record \$21 bn backlog, we think JCI possesses excellent forward visibility to deliver FY27 organic growth in the LDD-MT% range (GS: +11% with Americas +15%) compared to the current consensus of +HSD%.
- **Enterprise-wide Danaher-style business system driving an underappreciated self-help narrative.** JCI is unlocking massive internal efficiencies by deploying a rigorous continuous improvement system across its global operations. Led by Mr. Weidemanis, the proprietary business system utilizes value stream mapping, Kaizen events, integrated supply chain planning, and visual daily management to optimize productivity. As of 2Q26, the program had already engaged over 1,400 colleagues, trained 750+ leaders, and successfully implemented 150+ Kaizen events, representing the initial stages of a playbook that will scale across ~40 factories and 400+ field offices. Full adoption across JCI's ~100,000-person workforce will take time, but management anticipates the program will ultimately deliver 2x to 4x the current innovation capacity and speed to market. This operational overhaul supports a newly upgraded long-term target of 30%+ operating leverage. That said, we view

this target as highly conservative relative to current near-term momentum, expecting operating leverage to reach 45% to 50% this year, with scope for the exit rate to sustain above long-term targets in FY27.

- **Capital-light capacity expansion decoupling revenue growth from capex.** The most financially powerful element of JCI's new operating model is the ability to generate significant manufacturing capacity expansion with minimal incremental capital expenditure ("soft capacity"). By applying lean principles and eliminating waste, JCI is decoupling top-line scale from hard capital spending, protecting free cash flow, and boosting cash conversion. For example, in June, Ritchie visited a JCI facility (ACE) where manufacturing capacity has been expanded to greater than \$700 mn of throughput a year from less than \$200 mn prior to the program's implementation. Replicating this high-velocity manufacturing playbook across JCI's remaining factory footprint offers significant upside to operating leverage and margins, paving a clear, high-ROI path to more than double EPS FY25-FY28 while meeting unprecedented thermal demand from the AI infrastructure buildout.

Where we are different.

Ritchie thinks that this year has marked the growth inflection point for the company, and because the long cycle value chain (e.g., gas turbine suppliers such as GEV) is booking DC orders out to 2030+, he thinks that JCI is still in the early stages of backlog acceleration. JCI's capabilities span both liquid and air cooling, so if the cycle remains as robust as GEV's orders would imply then this should be the start of several years of strong order/organic growth for JCI. At the same time, new CEO Joakim Weidemanis (formerly at Danaher) is driving operational changes, and we see scope for incremental margins to remain high for the next couple years. JCI's recent investor day also reinforced this view, though Ritchie thinks that the company's updated long-term organic growth target of +HSD and incremental margins of 30%+ will prove conservative.

Valuation.

12-month price target of \$191 based on Q5-Q8 EBITDA multiple of 19x. Downside risks include: Data center demand slows down; productivity initiatives and cost actions fall short; execution missteps.

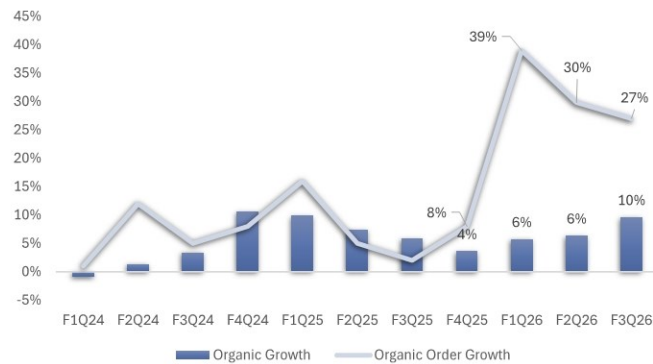
Catalysts.

Near-term, we expect JCI to beat F4Q26 EPS expectations and believe the company will initiate a FY2027 organic growth guide that is ahead of current cons. expectations of +8.7%.

Key Chart.

Exhibit 14: >30% organic order growth over the last 3 quarters has driven accelerating revenue growth

Organic revenue growth and order growth % y/y



Source: Company data, Goldman Sachs Global Investment Research

Relevant Research.

- Sep 30: “Americas Multi-Industry: More benign setup into C3Q26, though price/cost a key watch item: GEV, HON, ITT, JCI, NVT & PH well positioned”
- Jul-29: “JCI: Record backlog and capacity ramp supports stronger FY27 growth”
- Jun-2: “Johnson Controls International Plc (JCI): Takeaways from ‘Going to Gemba Day’”
- Apr-23: “Americas Industrials & Materials: Data Center World 2026 Trip — Key Takeaways”
- Mar-23: “Americas Multi-Industry: Spotlight on Resi HVAC: the noise has intensified”

Occidental Petroleum Corp. (OXY) – covered by Neil Mehta

Management-driven to FCF harvesting inflection company

OXY is employing advanced recovery techniques to extend the life of depleting shale oil reserves at the same time as it ramps up its focus on capital efficiency and deleveraging under new leadership that arrived in March. Advanced recovery efforts could add 2 billion barrels of oil equivalent (BBOE) to OXY's reserves. And cost containment initiatives could also drive as much as \$4bn of incremental cash flow by 2030. Look for excess cash to be delivered back to shareholders as a rising dividend or opportunistic buybacks.

- **Advanced recovery techniques could extend reserve life.** US shale oil fields face a broad problem of high depletion rates as the 'easy oil' has been extracted from a lot of acreage. But OXY's leading edge in advanced recovery techniques has the potential to add an additional 2 BBOE to its reserves as it boosts its estimated ultimate recovery rate (EUR) by 70%-140%. OXY is currently working on 3 commercial developments, with each development expected to deliver ~\$125 mn in cumulative free cash flow over 10 years and OXY has identified 30 more development-ready projects the company can pursue over time.
- **A trio of efficiency programs to drive strong incremental FCF growth.** OXY is embarking on a self-help initiative that aims to address management, operational, and financial costs with a goal to cut \$4bn of cash expenses from its financials. Targets: (1) oil & gas efficiencies: \$0.8bn; (2) corporate savings: \$1.7 bn; (3) capital and midstream savings: \$1.5 bn — all independent of the price of oil. On the oil & gas efficiency front, a 12% improvement in US onshore well costs, a 10% reduction in production costs, a decline rate improvement to 20% from ~25% prior, and a 10% workforce efficiency improvement. Additionally, the company is shifting away from new, capital-intensive ventures, such as its legacy investment in low carbon solutions, which the company has begun to unwind in 2026. Mehta forecasts that the company can achieve \$3.4bn of these efficiencies (see charts below).
- **With deleveraging comes dividends.** OXY is on a path that could result in delivering back to shareholders as much as \$4.00/share (in an upside scenario). The company has reduced principal debt by 60% to ~\$11.8 bn since peaking in 3Q24, paving a viable pathway for the company to reach its long-term principal debt target of \$10 bn. As it approaches an ideal debt target, look for OXY to focus its cash use on dividend growth. And rising cash balances also provide OXY with the flexibility to enact an opportunistic share buyback program if management sees dislocation in the stock price relative to strip oil pricing.

Where we are different.

Mehta holds a more constructive view on 1) management's renewed focus on the organic development of its advantaged US shale portfolio relative to a prior focus on resource expansion and 2) potential for measured dividend growth alongside OXY's strong outlook for balance sheet improvement.

Valuation.

12-month price target of \$69 employing a combined fundamental and M&A (rank of 2) valuation. The fundamental valuation (85% weighting) comes to \$67/share using a target free cash flow yield of 11.0% on 2027/2028 estimates with \$80/\$75 per bbl Brent oil price and \$3.50/\$3.50 per MMBtu Henry Hub gas price. The M&A valuation comes to \$78/share (15% weighting) ~\$78 based on \$85/\$80 per bbl Brent oil price and \$3.75/\$3.75 per MMBtu Henry Hub gas price for 2027/2028. Risks include: (1) commodity prices; (2) shareholder return priorities; and (3) cash flow improvement execution.

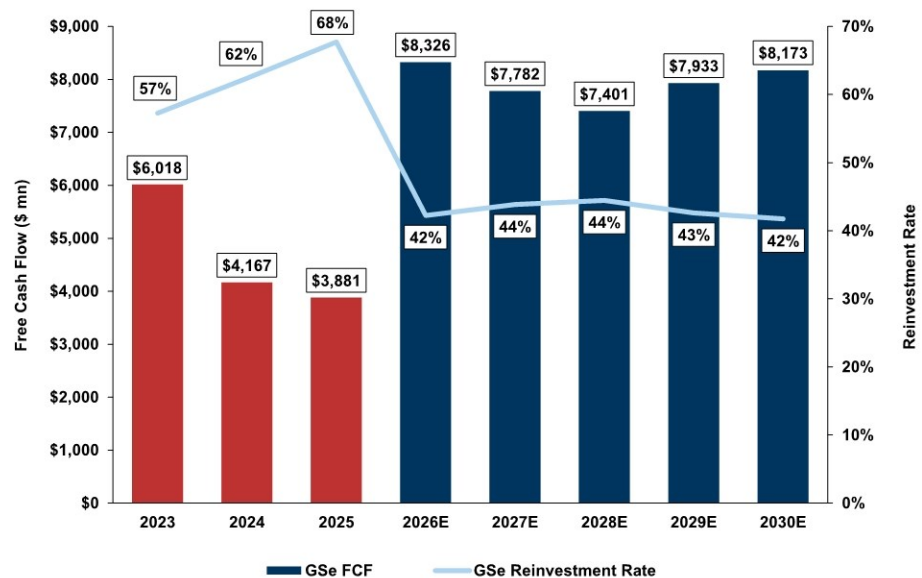
Catalysts.

Key areas of investor focus and potential catalysts include: (a) updates on execution of the \$4 bn cash flow improvement plan, (b) deleveraging progress toward reaching the principal debt target of <\$10 bn, (c) updates around return of capital and the outlook for dividend growth, (d) formal 2027 capex guidance relative to OXY's previously noted ~\$5.9 bn starting point, and (e) quarterly execution on oil production and free cash flow generation.

Key Charts.

Exhibit 15: We see an inflection in OXY's FCF driven by a sustainably lower reinvestment rate relative to historical levels

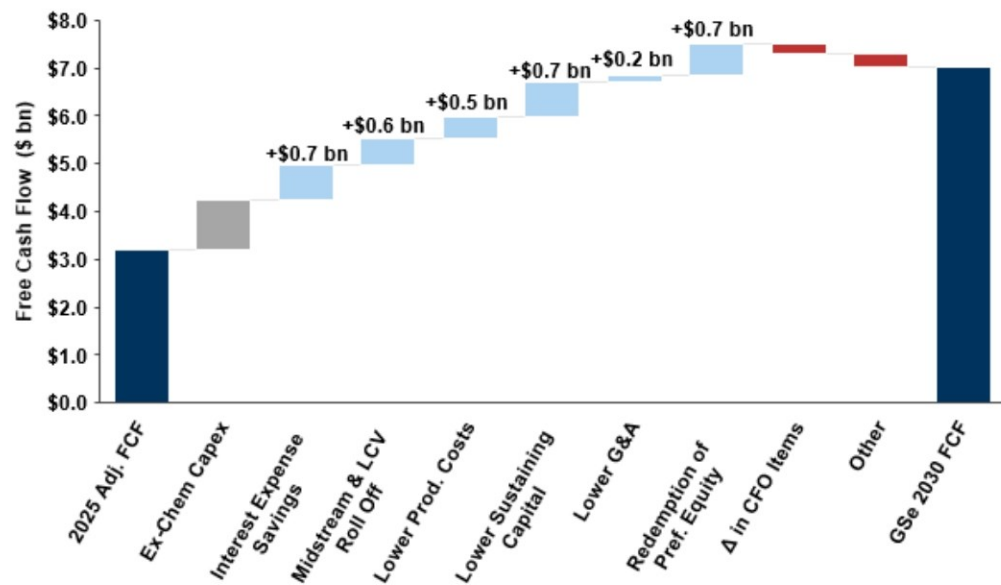
OXY free cash flow and reinvestment rate over time



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 16: We see ~\$3.4 bn in cash flow improvement across various structural benefits to OXY's capital and cost structure

Bridge between 2025 Adjusted FCF and GSe 2030 Adjusted FCF assuming \$65/bbl WTI pricing



Source: Company data, Goldman Sachs Global Investment Research

Relevant Research.

- Sep-30: “Energy: Oil & Gas - E&P: Upgrade OXY to Buy on Improving Permian and US Offshore Capital and Cost Efficiency; Downgrade TOU to Sell on Softer Gas Macro and Premium Valuation”
- Aug-15: “Occidental Petroleum Corp. (OXY): Takeaways from Investor Meeting: Closer Look at \$4.0 Billion Cash Flow Improvement Plan, With Focus on Cost and Efficiency”
- Aug-6: “Occidental Petroleum Corp. (OXY): Raising Target Following Strong Multi-Year Cash Flow Improvement Plan”
- May-20: “Occidental Petroleum Corp. (OXY): Upgrade to Neutral as Company Shifts from Resource Acquisition and Investment Mode to FCF Harvest”

Disclosure Appendix

Reg AC

We, Steven Kron, Chris Hussey, Sarah Herr and Deep Mehta, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Goldman Sachs Investment Research global Equity coverage universe

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Price target and rating history chart(s)

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Target price history table(s)

Amazon.com Inc. (AMZN)

Date of report	Target price (\$)	Closing price (\$)
31-Jul-26	375.00	271.58
08-Jul-26	335.00	243.62
30-Apr-26	325.00	265.06
13-Apr-26	275.00	239.89
06-Feb-26	280.00	210.32
13-Jan-26	300.00	242.60
31-Oct-25	290.00	244.22
03-Oct-25	275.00	219.51
01-Aug-25	240.00	214.75
21-Apr-25	220.00	167.32
07-Feb-25	255.00	229.15
01-Nov-24	240.00	197.93
02-Aug-24	230.00	167.90
15-Jul-24	250.00	192.72
01-May-24	225.00	179.00
02-Feb-24	220.00	171.81
10-Jan-24	200.00	153.73
27-Oct-23	190.00	127.74
12-Oct-23	175.00	132.33

Tyson Foods Inc. (TSN)

Date of report	Target price (\$)	Closing price (\$)
03-Sep-26	67.00	51.76
03-Aug-26	77.00	59.61
04-May-26	81.00	68.75
02-Feb-26	75.00	65.74
13-Jan-26	69.00	60.08
11-Nov-25	65.00	55.51
13-Oct-25	63.00	52.10
05-Aug-25	68.00	54.79
23-Jun-25	67.00	55.11
05-Aug-24	56.00	62.51
16-Apr-24	54.00	58.15
05-Feb-24	49.00	57.50
14-Nov-23	45.00	47.74
06-Nov-23	48.00	46.58

Golar LNG (GLNG)

Date of report	Target price (\$)	Closing price (\$)
14-Aug-26	67.00	52.49
20-Apr-26	66.00	52.54
24-Mar-26	60.00	54.51
27-Jan-26	56.00	40.22
10-Nov-25	55.00	39.05
29-Sep-25	54.00	40.20

Johnson Controls International Plc (JCI)

Date of report	Target price (\$)	Closing price (\$)
30-Sep-26	191.00	148.65
29-Jul-26	186.00	139.42
02-Jun-26	178.00	141.99
07-May-26	169.00	139.25
06-Apr-26	158.00	133.75
05-Feb-26	154.00	132.52
16-Dec-25	137.00	118.85
06-Nov-25	142.00	122.25
15-Sep-25	124.00	107.81
30-Jul-25	119.00	104.02
07-Jul-25	116.00	105.98
07-May-25	103.00	89.75
02-Apr-25	100.00	82.86
06-Feb-25	101.00	88.00
16-Jan-25	95.00	80.46
12-Dec-24	96.00	83.33
11-Nov-24	92.00	86.60
09-Oct-24	88.00	77.70
01-Aug-24	81.00	70.33
10-Jul-24	73.00	67.80
02-May-24	66.00	60.75
13-Dec-23	68.00	53.29
09-Oct-23	72.00	52.62

Loar Holdings (LOAR)

Date of report	Target price (\$)	Closing price (\$)
10-Aug-26	107.00	70.64
13-Jul-26	102.00	71.92
08-May-26	100.00	59.80
16-Jan-26	98.00	74.86
25-Nov-25	91.00	67.45

Air Products & Chemicals Inc. (APD)

Date of report	Target price (\$)	Closing price (\$)
31-Jul-26	360.00	294.89
01-May-26	355.00	301.07
02-Feb-26	325.00	270.99
16-Dec-25	310.00	242.25
07-Nov-25	330.00	259.74
01-Oct-25	335.00	268.70
04-Aug-25	345.00	287.48
18-Jul-25	355.00	295.31
12-Dec-24	375.00	310.89
10-Nov-24	360.00	312.99
02-Aug-24	330.00	281.74
15-Jul-24	291.00	259.84
06-Feb-24	265.00	218.05
14-Dec-23	300.00	270.81
08-Nov-23	305.00	259.93

Burlington Stores Inc. (BURL)

Date of report	Target price (\$)	Closing price (\$)
28-Aug-26	382.00	272.95
18-Aug-26	394.00	336.95
29-May-26	387.00	323.83
06-Mar-26	399.00	305.64
10-Feb-26	354.00	304.62
25-Nov-25	331.00	249.65
11-Nov-25	338.00	286.16
29-Aug-25	339.00	290.68
21-Jul-25	316.00	273.91
22-Apr-25	317.00	215.78
07-Mar-25	342.00	240.22
26-Nov-24	334.00	286.94
21-Oct-24	309.00	255.32
30-Aug-24	310.00	268.24

Occidental Petroleum Corp. (OXY)

Date of report	Target price (\$)	Closing price (\$)
01-Oct-26	69.00	55.32
07-Aug-26	63.00	55.91
29-Jun-26	60.00	49.09
20-May-26	64.00	58.87
22-Mar-26	57.00	60.71
10-Mar-26	54.00	53.12
22-Jan-26	41.00	43.15
21-Aug-25	43.00	44.56
15-May-25	41.00	43.37
15-Apr-25	38.00	37.80
27-Feb-25	47.00	48.65
31-Jan-25	45.00	46.65
15-Oct-24	54.00	51.56
02-Oct-24	55.00	53.44

Burlington Stores Inc. (BURL)

Date of report	Target price (\$)	Closing price (\$)
06-Aug-24	278.00	249.44
31-May-24	277.00	240.05
08-Mar-24	256.00	216.25
22-Nov-23	202.00	171.75

Occidental Petroleum Corp. (OXY)

Date of report	Target price (\$)	Closing price (\$)
18-Oct-23	71.00	66.50

ConocoPhillips (COP)

Date of report	Target price (\$)	Closing price (\$)
11-Aug-26	146.00	125.92
24-Jul-26	140.00	120.26
29-Jun-26	138.00	104.20
22-Mar-26	144.00	126.92
11-Mar-26	135.00	117.03
27-Feb-26	125.00	113.46
06-Feb-26	120.00	107.62
21-Jan-26	115.00	97.15
16-Oct-25	108.00	86.91
23-Jul-25	111.00	95.04
09-May-25	119.00	88.59
17-Apr-25	121.00	88.98
27-Mar-25	126.00	102.82
07-Feb-25	128.00	98.36
29-Jan-25	132.00	101.56
13-Nov-24	130.00	111.82
24-Oct-24	125.00	104.37
06-Sep-24	127.00	106.02
24-Jun-24	130.00	115.17
09-Feb-24	134.00	111.16
16-Jan-24	135.00	108.64
03-Nov-23	138.00	119.75
17-Oct-23	135.00	125.46

Huntington Ingalls Industries Inc. (HII)

Date of report	Target price (\$)	Closing price (\$)
03-Aug-26	439.00	325.95
13-Jul-26	431.00	284.86
17-Apr-26	435.00	394.81
06-Feb-26	419.00	397.77
16-Jan-26	425.00	425.90
23-Dec-25	384.00	354.52
30-Oct-25	356.00	319.07
09-Oct-25	316.00	286.14
01-Aug-25	312.00	269.83
16-Jul-25	290.00	253.82
02-May-25	265.00	230.02
14-Apr-25	236.00	219.95
11-Apr-25	234.00	215.74
07-Feb-25	145.00	168.49
16-Jan-25	188.00	201.02
31-Oct-24	194.00	184.96
09-Oct-24	226.00	258.08
02-Aug-24	221.00	263.35
09-Jul-24	231.00	241.93
03-May-24	226.00	246.23
15-Apr-24	231.00	275.00
02-Feb-24	215.00	268.50
17-Jan-24	206.00	254.81
06-Nov-23	195.00	234.55

Price targets shown in table(s) are unadjusted for corporate actions.

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